

China Daily Brief

Thursday, September 24, 2026

2,686 words · 11 min read

RE: Xi arrives in Washington · trade truce extended to Jan 10 · F-35 parts diverted to Hong Kong · MND cautions on Taiwan arms sales

USD/CNY
6.7120
▲ +0.07%

SSE COMPOSITE
3,888.37
▼ -0.60%

HANG SENG
24,761.13
▲ +0.64%

BRENT
\$104.35
▲ +4.00%

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• TODAY AT A GLANCE

- 1 Xi Jinping arrived in Washington Wednesday evening for his first US state visit in more than a decade, greeted personally by Trump at Joint Base Andrews ahead of Oval Office talks, a state banquet Thursday, and a Friday departure.
- 2 Treasury Secretary Scott Bessent said the US and China have extended the 'Busan agreement' trade truce two months, from a November 10 deadline to January 10, while negotiators work toward a bigger deal.
- 3 China is holding sensitive F-35 stealth fighter parts, a cockpit canopy and weapons bay door, diverted to Hong Kong from Australia via UPS in late May, prompting a Pentagon investigation, per AP and Bloomberg.

US-CHINA

US and China extend the 'Busan agreement' trade truce to January 10

Treasury Secretary **Scott Bessent** said the US and China have agreed to extend the 'Busan agreement' trade truce two months, pushing the deadline from November 10 to January 10, as **Xi Jinping** began his state visit to Washington. Bessent met Vice Premier **He Lifeng** for follow-up talks Tuesday on 'unfinished' business, saying Beijing must still deliver more before a bigger agreement is reached.

REUTERS, SEPT 23-24

SANCTIONS

Pentagon investigates after China obtains diverted F-35 parts in Hong Kong

China is holding sensitive F-35 stealth fighter components, a cockpit canopy and weapons bay door, diverted to Hong Kong from Australia in late May while UPS was shipping them to the US, Bloomberg and CNBC reported. The Pentagon has opened an investigation into how the parts were rerouted, per AP.

AP / BLOOMBERG / CNBC, SEPT 23-24

CROSS-STRAIT

China's defense ministry urges 'extreme caution' on Taiwan arms sales ahead of summit

China's defense ministry urged Washington to handle arms sales to Taiwan with 'extreme caution' ahead of the Trump-Xi summit, Reuters reported. Taiwan separately thanked the US for its support of the island's defense as the two leaders prepared to discuss the issue.

REUTERS, SEPT 24

TECHNOLOGY

China's AI chip blitz arms Xi with a message for Trump: 'You can't choke us off'

A run of new chips and AI models from Chinese national champions gives **Xi Jinping** a confidence boost heading into the summit, CNBC reported. Separately, China confirmed the first US-China AI safety talks have taken place, hours before Xi began talks with Trump.

CNBC, SEPT 24

DIPLOMACY

Xi arrives without CEO delegation as Boeing deal hopes fade

Xi arrived in Washington without a Chinese CEO delegation, unlike Trump's May visit to Beijing, two sources told Reuters, while top US tech executives are set to attend Thursday's state banquet.

Hopes for a new Boeing aircraft order during the summit are fading, sources told Reuters, after the two sides agreed in May to a purchase of 200 aircraft.

REUTERS, SEPT 23-24

• OVERNIGHT

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- TECHNOLOGY** Chinese humanoid robot maker UniX AI expands globally ahead of IPO · CNBC
UniX AI said existing US chip export restrictions have had little effect on its humanoid robotics business, citing its own experience, CNBC reported. The company is expanding internationally as it prepares for an IPO.
-
- PRC-ECONOMY** WSJ: Xi's economy is failing China's people · WSJ
The Wall Street Journal published an analysis titled 'Xi's Economy Is Failing China's People,' timed to Xi's Washington visit. No further detail beyond the headline was available in today's feed.
-
- DIPLOMACY** More Americans hold positive views of China, NYT poll review finds · NYT
A New York Times review of polling found more Americans now view China positively, attributed to fading pandemic memories and awareness of Chinese tech innovation. The shift is described as more pronounced among younger Americans.
-
- DIPLOMACY** Xi's Washington visit to fuel renewed health scrutiny, NYT reports · NYT
The New York Times reported discussion of Xi's health remains heavily censored in China even as the 73-year-old is expected to remain in power. His Washington visit is expected to draw renewed attention to his physical condition.
-
- TECHNOLOGY** Is China easing some online censorship, The Economist asks · Economist
The Economist examined signs Chinese authorities may be easing some forms of online censorship. No further detail beyond the headline was available in today's feed.
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- DIPLOMACY** AP: Xi enters Trump summit after building China into a global force since 2015 · AP
The Associated Press reviewed how Xi has expanded China's global economic and military reach ahead of this week's Washington summit. Both leaders reportedly believe time is on their side heading into the talks.
-
- PRC-ECONOMY** Asian markets fall on US-China summit jitters despite truce extension · AFP
Asian equities fell Thursday on jitters around the Trump-Xi summit even after Bessent announced the trade truce extension to January 10, AFP reported. Oil prices jumped in Asian afternoon trade as Trump said the Iran war would be on the summit agenda.
-
- ENERGY** China's overseas coal plant ban stumbles in Indonesia, CREA finds · Bloomberg
A CREA analysis found China's ban on financing overseas coal plants has faltered in Indonesia, Bloomberg reported. The finding raises questions about enforcement of Beijing's pledge to stop financing overseas coal plants.
-

TRADE · REUTERS

China's rare earths dominance to overshadow Trump's talks with Xi

China's dominance in rare earth mining and processing is expected to overshadow Trump's talks with Xi, Reuters and the Washington Post reported Thursday. Both reports frame the rare-earth supply chain as unresolved leverage left over from the May Beijing summit.

DIPLOMACY · BLOOMBERG

Bessent meets China's He for further talks on 'unfinished' work

Treasury Secretary Scott Bessent met Vice Premier He Lifeng again Tuesday for talks on 'unfinished business' before the summit, Bloomberg reported. The meeting came as both sides finalized the extension of the Busan trade truce to January 10.

TRADE · REUTERS

Hope fading for new Boeing deal during US-China summit, sources say

Hopes are fading for a new Boeing aircraft order to be announced during the Trump-Xi summit, sources told Reuters. The May Beijing summit had produced a commitment for China to buy 200 Boeing aircraft as part of the broader trade framework.

CONGRESS · REUTERS

US senators press for quick Chinese vehicle ban this week as Xi visits

US senators are pushing to fast-track a ban on Chinese-made vehicles this week, timed to Xi's visit, Reuters reported. The push coincides with debate over whether Chinese automakers could gain US market access as part of a broader trade deal.

CONGRESS · REUTERS

US lawmakers propose overhaul of China tech review before Trump-Xi talks

US lawmakers introduced legislation to overhaul the ICTS review process used to bar Chinese tech gear, Reuters reported, ahead of the summit. The proposal would reform the tool federal agencies use to restrict Chinese-origin hardware and software.

CONGRESS · REUTERS

Four US Republicans call for Trump to release Taiwan security funds

Four Republican lawmakers called on Trump to release Taiwan security assistance funds, Reuters reported, ahead of his meeting with Xi. The appeal adds to congressional pressure as Taiwan arms sales are expected to feature in the summit talks.

DIPLOMACY · NYT

Families urge Trump to press Xi to free Americans detained in China

Families of Americans detained in China, scholar U Min Zin and seismologist Youlin Chen, urged Trump to press Xi for their release during the summit, the New York Times reported. Min Zin studied Myanmar and Chen researched North Korean nuclear tests.

CROSS-STRAIT · REUTERS

Taiwan upgrades maritime patrol capacity for vulnerable South China Sea outpost

Taiwan is upgrading maritime patrol capacity at a vulnerable South China Sea outpost, Reuters reported Thursday. The move comes as Chinese and Philippine vessels continue confrontations near contested South China Sea features.

AUSTRALIA-PACIFIC · REUTERS

New Zealand says China is its most persistent state-backed cyber threat

New Zealand's government named China as its most persistent state-backed cyber threat, Reuters reported. The assessment adds Wellington to the list of US allies publicly flagging Chinese cyber activity this year.

JAPAN · TAIPEI TIMES

Takaichi has 'timely' talk with Trump about China ahead of summit

Japanese Prime Minister Sanae Takaichi said she held a 'timely' discussion about China with Trump, moving up her UN speech two days to meet him first. Trump and Takaichi agreed to 'closely coordinate on China issues' in a roughly 30-minute meeting.

MIDDLE EAST · BLOOMBERG

Iran flights head to China and Thailand in defiance of US sanctions

Iranian flights are heading to China and Thailand in defiance of US sanctions, Bloomberg reported. The flights underscore continued commercial ties between Tehran and Beijing despite Washington's sanctions regime.

MIDDLE EAST · BLOOMBERG

The Houthis sustain their war machine with Chinese goods

Yemen's Houthi rebels are sustaining their military campaign with imported Chinese goods, according to a Bloomberg investigation. The findings add to scrutiny of Chinese-origin components reaching Iran-aligned groups amid the broader regional conflict.

EUROPE · BLOOMBERG

Spain's Sánchez says China talks can help EU cut trade deficit

Spain's prime minister said talks with China could help the EU narrow its trade deficit, Bloomberg reported. The comments come as European capitals debate balancing de-risking from China with deficit concerns.

EUROPE · FT

UK and Germany among economies most exposed to China, new modelling shows

New modelling shows the UK and Germany are among economies most exposed to China, the Financial Times reported. The study found efforts to reduce reliance on Chinese investment, trade and other links have produced only 'modest' results.

\$5.3 trillion

Taiwan's stock market capitalization, now world's 4th-largest

The TAIEX rose 0.75% to a record 48,157.29 Wednesday, pushing Taiwan past India's \$4.94 trillion market and behind only the US (\$82.7 trillion), China (\$21.22 trillion) and Japan (\$8.59 trillion), per MarketCapWatch data cited by the Taipei Times.

Taipei Times

• ECONOMY & BUSINESS

TECH / DEEPSEEK · REUTERS

DeepSeek's annualized revenue run rate hits \$1 billion

DeepSeek's annualized revenue run rate has hit *\$1 billion*, the Information reported, per Reuters, marking one of the first concrete revenue disclosures for the Chinese AI model maker.

FINANCE / TENCENT, ANT GROUP · FT

Tencent launches payments app for 'China-maxxing' foreign tourists

Tencent launched a payments app aimed at foreign tourists, positioning it as a rival to Ant Group's Alipay in China's largely cashless economy, the FT reported.

FINANCE · BLOOMBERG

China plans new products for Swap Connect expansion

China plans to include new products in an expansion of its Swap Connect scheme, Bloomberg reported, without detailing which instruments would be added.

MANUFACTURING / INNOCARE, ELI LILLY · REUTERS

China's InnoCare, Eli Lilly sign collaboration deal worth up to \$3.35 billion

China's InnoCare and Eli Lilly signed a collaboration deal worth up to *\$3.35 billion*, Reuters reported, without disclosing full financial terms beyond the deal's ceiling value.

MACRO · REUTERS

China's central bank to inject more liquidity as Golden Week nears

China's central bank said it will inject additional liquidity ahead of the week-long Golden Week holiday, Reuters reported, alongside its announced *800 billion yuan* MLF operation.

AUTO / CATL · FT

Chinese carmaker unveils sub-5 minute EV battery charging

A Chinese carmaker described as Volvo Cars and Lotus's owner unveiled sub-5-minute EV battery charging technology, the FT reported, as it seeks to reduce dependence on market leader CATL.

MACRO · BLOOMBERG

China's trade volumes hit record in week before Trump-Xi summit

China's trade volumes hit a record in the week before the summit, Bloomberg reported, though the report did not break out figures by trading partner or product category.

商务部 · MOFCOM · *MOFCOM spokesperson*

MOFCOM strengthens market supply safeguards for Mid-Autumn Festival and National Day

MOFCOM announced measures to reinforce the supply of daily necessities during the combined Mid-Autumn Festival and National Day holiday period.

→ [MOFCOM ZH ↗](#)

中国人民银行 · PBOC · *PBOC*

PBOC to conduct 800 billion yuan MLF operation on Sept. 24

The People's Bank of China said it will carry out an *800 billion yuan* medium-term lending facility operation on September 24, part of a broader liquidity push ahead of the week-long Golden Week holiday.

→ [PBOC ZH ↗](#)

中国人民银行 · PBOC · *PBOC*

PBOC caps daily overnight reverse repo operations at 1 trillion yuan through holiday window

The PBOC said it will conduct overnight reverse repo operations from September 28 to October 8, with daily operations capped at *1 trillion yuan*, covering the National Day and Mid-Autumn Festival holiday window.

→ [PBOC ZH ↗](#)

外交部 · MOFA · XI-TRUMP LEADER INTERACTION ARRANGEMENTS

ROUTINE · TO US

MOFA spokesperson ¹ · MOFA spokesperson

“Per MOFA: China and the United States are maintaining communication on this year's arrangements for leader interaction.”

外交部：中美双方就年内两国元首的互动安排保持着沟通

Asked about the trade truce extension and Xi's Washington visit at the daily briefing.

MOFA presser ZH

新华社 · XINHUA COMMENTARY · STABILIZING US-CHINA ECONOMIC RELATIONS

CONCILIATORY · TO US

郭言 (Guo Yan) ¹ · Economic Daily commentary, reprinted by PLA Daily

“Positive economic interaction and deepening pragmatic cooperation between the two countries can safeguard high-quality development for both sides and inject valuable certainty into a turbulent world economy.”

两国经贸良性互动、务实合作持续深化，既能为双方高质量发展保驾护航，也能为波动的世界经济注入宝贵确定性

Published as economic teams from both countries held talks in New York from Sept. 20 ahead of Xi's state visit.

解放军报 (PLA Daily ZH)

国防部 · MND · SCARBOROUGH SHOAL SOVEREIGNTY

FIRM · TO PHILIPPINES

MND spokesperson ¹ · Ministry of National Defense spokesperson

“Huangyan Dao is China's inherent territory, and China has indisputable sovereignty, sovereign rights and jurisdiction over Huangyan Dao and its adjacent waters.”

黄岩岛是中国固有领土，中国对黄岩岛及其附近海域拥有无可争辩的主权、主权权利和管辖权。

Stated at the MND's September regular press conference in response to Philippine and Japanese positions on the shoal.

国防部 (MND ZH)

国防部 · MND · PHILIPPINES-TAIWAN OFFICIAL CONTACT

FIRM · TO PHILIPPINES

MND spokesperson ¹ · Ministry of National Defense spokesperson

“We urge the Philippine side to abide by the one-China principle, not to conduct any form of official contact or military ties with China's Taiwan region, and to stop sending wrong signals to 'Taiwan independence' separatist forces.”

我们敦促菲方恪守一个中国原则，不得同中国台湾地区开展任何形式的官方往来和军事联系，停止向“台独”分裂势力发出错误信号。

Follows reports that Taiwan authorities announced plans to give a patrol vessel to the Philippines.

国防部 (MND ZH)

Zhu Fenglian · TAO spokesperson

“The obstacle to fully resuming cross-strait direct air routes lies with the Democratic Progressive Party authorities.”

两岸空中直航航点全面复航的障碍症结在于民进党当局

Said at TAO's regular briefing ahead of the Mid-Autumn Festival, where Zhu also delivered holiday greetings in Mandarin, Hoklo and Hakka.

国台办 (TAO ZH)

• WHAT OTHERS ARE SAYING

TAIPEI TIMES · SEPT 24

Sen. Jeanne Shaheen and six Senate Democrats · Senate Foreign Relations Committee ranking member, joint statement

“We can't let President Xi leave stronger than when he arrived. That is not diplomacy, it's weakness.”

The statement was signed by seven Democratic senators, Shaheen, Coons, Murray, Reed, Warner, Warren and Kim, ahead of the Trump-Xi meeting.

source

TAIPEI TIMES · SEPT 24

Sanae Takaichi · Prime Minister of Japan

“Japan considers it important that US-China relations contribute to the stability of the international community, including Japan.”

Takaichi made the remark at a New York news conference after meeting Trump ahead of his summit with Xi.

source

AFP · SEPT 23-24

Donald Trump · US President

“I thought it was a great little meeting, a great greeting, and I think they appreciate it.”

Trump made the remark to reporters at the White House after personally greeting Xi at Joint Base Andrews.

source

ECONOMY

BLOOMBERG

Chanel to keep investing in China despite demand downturn

Chanel plans to keep investing in China despite a demand downturn, Bloomberg reported.

BLOOMBERG

Trump-Xi summit narrows China credit's geopolitical discount: Bloomberg Intelligence

Bloomberg Intelligence said the summit is narrowing the geopolitical discount on Chinese credit.

DIPLOMACY

CNBC

Allied strains complicate Trump's China pressure ahead of Xi summit

Strains with US allies are complicating Washington's efforts to marshal pressure against China, CNBC reported.

KYODO

Japan to closely monitor US-China summit: government spokesman

Japan's government said it will closely monitor the Trump-Xi summit, a spokesman said, per Kyodo.

GUARDIAN

Guardian podcast previews AI, Iran and Taiwan as summit topics

A Guardian podcast featuring former NSC China director Jonathan Czin previewed the summit's stakes.

AP

Capitol Hill criticism grows as Trump gives Xi warm welcome

AP reported bipartisan Capitol Hill criticism of Trump's warm welcome for Xi during the state visit.

TECHNOLOGY

SCMP

Chinese policy adviser Zheng Yongnian warns against US-China AI 'cold war'

Zheng Yongnian warned US-China AI competition must not escalate into a cold war, SCMP reported ahead of the summit.

REUTERS

Reuters newsletter surveys China's AI funding frenzy, chip wars, robot dreams

A Reuters newsletter examined China's AI funding frenzy, chip competition and robotics ambitions.

● UPCOMING

Sep
25

Xi's Washington state visit concludes

Xi departs Washington Friday morning after talks in the Oval Office and a state banquet Thursday night, per AFP.

Oct
1

PRC National Day, 77th anniversary

Falls within this year's combined National Day / Mid-Autumn Festival holiday window, which MOFCOM and PBOC are both managing supply and liquidity around.

Oct
25

UN Resolution 2758, 55th anniversary

Contested-interpretation flashpoint over Taiwan's UN status.

Nov
10

Busan-deal one-year suspensions due to lapse

BIS Affiliates ('50%') Rule and China's Oct 2025 rare-earth export controls were suspended for one year from Nov 10, 2025; status now complicated by the new Jan 10 truce extension.

Jan
10

New US-China trade truce deadline

Bessent said the Busan agreement truce, previously due to expire Nov 10, is now extended to January 10, with more Chinese deliverables expected before a larger deal.

CSIS China Programs

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generated 7:14 AM ET

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